In Tableau, how can clustering be useful for business decision-making?

In Tableau, clustering is used to group similar data points based on their characteristics. It helps businesses identify patterns and make better decisions.

How is clustering useful for business decision-making?

1. **Customer Segmentation:** Groups customers based on purchasing behavior, spending habits, and preferences to create targeted marketing strategies.
2. **Sales Analysis**: Identifies groups of products with similar sales patterns to improve sales strategies.
3. **Profitability Analysis:** Helps identify high-profit and low-profit customer groups or products.
4. **Risk Analysis:** Helps businesses identify customers or transactions with similar risk characteristics.
5. I**nventory Management**: Groups products based on demand patterns to manage stock efficiently.

Example:

A retail company uses Tableau clustering to group customers into three clusters:

- **Cluster 1:** High-spending customers
- **Cluster 2:** Medium-spending customers
- **Cluster 3:** Low-spending customers

Based on these clusters, the company can offer premium rewards to high-spending customers and discounts to encourage low-spending customers to purchase more.

Conclusion: Clustering in Tableau helps businesses discover hidden patterns in data, understand customer behavior, and make data-driven decisions.